1. Finance and Accounting Strategy

1.1. The use of Accounting data to enable Strategic decision making

The use of financial statements in developing strategies

- A business cannot decide on a new strategy without:
  - Analysis of current profitability and financial performance of the business.
  - Assessing availability of finance sources.
  - Comparing the success of current strategies with similar businesses.

The contents of an annual report

- Financial statements
- Chairman's statement: Summarises major achievements, future prospects, and impacts of the political and economic environment.
- Chief executive's report: Analyses the last financial year by area or product divisions, highlighting major projects, mergers, takeovers, closures, or rationalisations.
- Auditors' report: Provides an independent review of account accuracy and methods, confirming a 'true and fair view' unless concerns are raised.
- Notes to the accounts: Detail fixed assets, long-term loans, depreciation methods, and other specifics beyond the main accounts.

Usefulness of an annual report

Stakeholders	Information in annual reports is used to...
Managers	Measure performance against targets, past results, and competitors. Support strategic decisions. Control and monitor departments and divisions. Set and review budgets against actual performance.
Banks	Decide on lending money, increasing overdraft facilities, or continuing an overdraft.
Suppliers	Assess liquidity, credit risk, and the need for early debt repayment.
Customers	Evaluate business security, future supply assurance, and access to spare parts and services.
Government, tax authorities	Calculate tax owed, assess potential for expansion or closure, and ensure legal compliance with accounting regulations.
Shareholders, potential investors	Assess business value and investment, profitability trends, shareholder profits, growth potential, and compare performance with competitors before deciding to buy or sell shares.
Employees	Assess the business's ability to pay wages, potential for expansion or reduction, job security, affordability of wage increases, and compare average wages with director salaries.
Local community	Assess profitability, potential expansion benefits for the local economy, and whether losses could lead to closure.

1.2. The use of Accounting data and Ratio analysis in Strategic decision-making

- Strategic decisions are hard to reverse and resource-intensive, so a thorough analysis of accounting data and ratios is essential for success.

Assessment of business performance over time and against competitors

One accounting ratio alone provides limited value. Ratios are more informative when compared to:

- Ratios for previous time periods, known as trend analysis. Allows managers and stakeholders to assess:
  - Is profitability improving or declining?
  - Is liquidity a bigger issue than last year?
  - Are financial efficiency and gearing increasing or decreasing?
  - Are investor ratios suggesting better investment potential now than before?

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

- **Ratios from other firms in a similar industry,** known as inter-firm comparison. Allows managers and stakeholders to assess:
  - Is this company more or less profitable than competitors?
  - Is liquidity risk higher than in other businesses?
  - Is this company more efficient or highly geared than competitors?
  - Is investing in competitors' shares a better option?

The impact of accounting data including ratio results on business strategy

- Developing new business strategies often begins with analysing company accounts through ratio analysis to identify key issues. Some examples demonstrate its usefulness.

Example 1:

Company A	2019	2020	2021
Gross profit margin	23%	18.5%	18%
Operating profit margin	7.8%	5%	3.5%
RoCE	8%	6%	4%

- Ratio analysis shows declining profitability for Company A, which is the only large business in the industry facing this issue.
- **The directors propose two strategies:**
  - Reduce overhead by delayering the organisation.
  - Boost promotional spending to improve brand identity, customer loyalty, and increase prices.

Example 2:

Company B	2019	2020	2021
Gearing ratio	45%	50%	60%
Dividend per share	$0.50	$0.60	$0.65
Trade payable turnover (days)	10%	10%	8%

- Directors of Company B are concerned about its high gearing ratio, which exceeds most competitors.
- **They propose two strategies:**
  - Reduce dividend payments to retain more profit for debt repayment.
  - Delay supplier payments to slow cash outflows and facilitate debt repayment.

Example 3:

Company C	2019	2020	2021
Rate of inventory turnover	8.5	7	6.5
Trade receivables turnover (days)	34	32	35
Trade payables turnover (days)	9	12	10

- **Company C wants to improve financial efficiency and proposes two strategies:** Implement a just-in-time system with suppliers offering small shipments. Sell products online, requiring payment before distribution.
- **These examples show how accounting data and ratios help managers identify strategic decisions. However, final decisions depend on:**
  - Further analysis of the issues highlighted by ratios.
  - Assessing resources to fund the strategy.
  - Evaluating the strategy's impact on business objectives.

The impact of debt or equity decisions on ratio results

- The two main external long-term financing sources for companies are bank loans (debt) and new share sales (equity). How do these choices affect ratio results?

Example

- Company D plans to build a **14M dollar** wind turbine factory, leveraging advanced technology for high labor productivity. Rising renewable energy demand and rapid economic growth with high inflation support this strategy. Current accounts are summarized in the table below.

Non-current liabilities	Capital employed	Shareholder's equity
$65M	$120M	$55M

- The gearing ratio is 54.2%
- If additional $14M is borrowed
  - **Gearing ratio = (79M/134M) × 100 = 59%**
- If additional $14M is raised from sale of shares
  - **Gearing ratio = (65M/134M) × 100 = 48.5%**
- **Points to note:**
  - Higher debt increases gearing; more equity reduces it.
  - High interest rates make high gearing costly and risky.
  - A profitable factory favors high gearing, as profits aren't shared among more shareholders.

The impact of changes in dividend strategy on ratio results

- Shareholders in public companies expect regular dividends as returns on their investments. Directors set dividends annually, influenced by profit after tax, liquidity, and the need to maintain share prices, especially before issuing new shares.

Example

- Company E's directors have paid high dividends recently to avoid share price drops while issuing new shares for finance. However, profit after tax has declined for three consecutive years. Key ratios from the latest accounts and share price are in the table below.

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

Dividend per share	Market share price	Price/earnings ratio	Dividend yield	Earnings per share
$0.50	$12	$6	4.17%	$2

- A year ago, price/earnings (P/E) ratio was 9 and the dividend yield was 3.5%
- Directors forecast earnings per share to drop to **1 dollar** and plan to cut dividends to **0.35 dollars** next year.
  - If the share price stays unchanged, the dividend yield will be 2.9%
  - And, the P/E ratio will rise to 12.

The impact of business growth on ratio results

- Business growth, its pace, economies of scale, and financing through debt or equity all influence ratio results.

Example:

- Company F aims to grow by acquiring another recyclable plastic producer, nearly doubling its size. Economies of scale will be achieved by closing factories to reduce fixed costs per unit. Redundant assets will be sold, with proceeds partly used to repay debt from the takeover.

The impact of other business strategies on ratio results

- Businesses can adopt various strategies, each affecting published accounts and ratios differently, depending on short-term or long-term impacts.
- The table below outlines business strategies and their potential impact on ratio results. While not complete, it highlights how different strategies affect ratios.

Business strategy	Possible impacts on ratios
Rationalisation	Reducing operating expenses increases operating profit margin and RoCE
New product development	**Short term:** Profit, liquidity, RoCE, and returns to shareholders may decline due to R&D costs. **Long term:** A successful product can boost profit margins, RoCE, liquidity ratios, and shareholder returns.
Market development	**Short term:** High market entry costs may lower operating profit margin, RoCE, and liquidity. **Long term:** Successful market entry can boost sales, profit margins, RoCE, and shareholder returns.
Low price strategy	Lowers gross and operating profit margins unless higher output reduces fixed costs per unit, achieving economies of scale and boosting profit margins and RoCE.

Limitations of using ratio analysis

- A single ratio is insufficient for analysis. Meaningful comparisons require:
  - Inter-firm comparisons with other businesses.
  - Trend analysis over time
- **Inter-firm comparisons** are most effective within the same industry. Different financial year-ends can impact results due to economic changes.
- **Trend analysis** must account for external factors, like recessions, affecting ratios over time.
- Ratios should be compared using consistent formulas, as varying asset valuations or depreciation methods can distort results.
- **Window dressing** may make ratios appear better temporarily.
- Ratios rely on numerical data but overlook non-financial factors like customer loyalty, environmental policies, and human rights practices.
- Ratios are valuable for identifying issues like declining profitability or liquidity but don't solve problems or reveal their causes. Managers must investigate and act on these insights.

Limitations of using published accounts and annual reports

- Companies publish only the minimum accounting information required by law to prevent sensitive details from being examined by competitors or pressure groups.
- **Unpublished details in annual reports include:**
  - Sales and profitability of products and divisions.
  - Research, development, and new product plans.
  - Expansion or rationalisation plans.
  - Environmental and community impact (sometimes included voluntarily).
  - Future budgets or financial plans.
- **Other limitations include:**
  - Historic data may not indicate future performance.
  - Includes only two years of data.
  - Intangible assets are often undervalued, affecting knowledge-based companies.
  - Valuation or depreciation methods can hinder comparability.
  - Accounts may lack accuracy, requiring further analysis.

Are the published accounts really accurate?

- Stakeholders often question the accuracy of published accounts, which are less objective than assumed. While companies cannot knowingly publish misleading accounts and must undergo audits, accounting often involves judgment and estimation.
- Judgements can cause disagreements among accountants, such as over inventory or asset valuations. Favorable interpretations may lead to accusations of **"window dressing"**.
- Window dressing may aim to secure loans or attract investors by enhancing short-term performance without breaking accounting laws.

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

- Methods include:
  - Selling assets to improve liquidity.
  - Reducing depreciation to boost profits and asset values.
  - Overlooking bad debts.
  - Overvaluing inventory.
  - Delaying payments or expenses until after publishing accounts.
- Stakeholders should analyse published accounts and related ratios with caution. They offer a starting point for assessing business performance but cannot answer all stakeholder questions alone.

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.